

Identification Guidelines

[Table 24.1](#) lists identification guidelines for diamond tops. Consider the diamond top pictured in [Figure 24.2](#). A broadening top looks like a mouth opening at G, inhaling price. The diamond appears at D, so let's talk about it.

Appearance. The fluctuations of peaks and valleys form the diamond shape when trendlines connect them such as that shown in the figure. Notice that the diamond is not symmetrical; irregular diamond shapes are common for this pattern. Even so, they *do* look like diamonds.

Price trend. The short-term price trend from A to B is upward leading to the start of the pattern. We see a bit of overshoot at B and undershoot at C before the diamond builds. Ignore the overshoot and undershoot when assessing whether a diamond is a top or bottom.

Volume. The volume trend is receding in this diamond, according to linear regression. All I see is a big volume spike in the middle of the pattern. It's like a middle finger pointing at the diamond. Breakout day (E) volume at H is high but not even close to what it was in the middle of the diamond. Price throws back to the breakout price, F, before resuming its upward move.

Support and resistance. Support and resistance for diamond tops commonly appear at the top of the pattern, as seen in [Figure 24.3](#). The diamond reversal forms a resistance level, repelling price during the rise in March and April 1993, and is not pierced until a year later.

A congestion zone forms in October 1993 and lasts through March of the following year before price climbs convincingly above the resistance area. Even then, during April and May 1994, price is buoyed by the support zone at 31 created a year and a half earlier.